

*Federal Maritime Commission*

MAVL Capital, et al.

v.

MARINE TRANSPORT LOGISTICS, INC.

Docket No. 16-16

**MTL's REPLY TO EXCEPTIONS**

The Chief Administrative Law Judge correctly found that the Complainants have not met their burden of establishing actual injury. It is submitted that the Complainants have not justified, not even remotely, the astronomical figures that they are seeking for the two subject salvage vehicles.

The Complainant, Mr. Ostrovskiy, in his certification, does not even assert that he purchased the subject Mercedes, and there is no mention that he purchased such for any amount. Incidentally, such certification does not mention anything about the subject Porsche. (*See* Docket Entry #9, pages 14-18).

Complainants' Appendix to their remand brief ("Capp"), Volume I, Appendix "A", ¶50, contains a proposed finding of fact: "The 2006 Mercedes SL65 was sold for \$3,800 in Dubai." This statement is corroborated by the fact that the subject Mercedes was a salvage vehicle. (*See* Capp, Volume III, page 67 – Salvage Title Certificate). It is submitted that this would be the best evidence of fair market value, which the United States Supreme Court defined as: "the price at which the property would change hands between a willing buyer and a willing seller, neither

being under any compulsion to buy or to sell and both having reasonable knowledge of relevant fact.” *United States v. Cartwright*, 411 U.S. 546, 551 (1973).

Furthermore, by Complainants’ own admission in their proposed findings of fact, they never repaired this vehicle, so there is no justification for any of the figures that the Complainants are alleging: “The owner of Porsche and Mercedes was IAM & AL Group/MAVL Capital, Inc./Maxim Ostrovsky and Mr. Ostrovskiy never requested that anyone perform any repairs on his cars anywhere, including Dubai.” (Complainants Remand Brief, page 11, ¶29 of the proposed findings of fact).

As to the subject Porsche, the price that was paid to the auction for such was \$5,500 (MTL’s Appendix to the remand opposition brief, page 130), and this is consistent with the fact that this Porsche too was a salvage vehicle. (*See* Capp, Volume III, page 59). As to the repairs, as shown above, nobody from the Complainants paid for any repairs to increase the value of the vehicle; it was Royal Finance who paid for repairs. (*See* MTL’s Appendix to the remand opposition brief, pages 122-125).

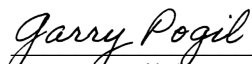
The Complainant, Mr. Ostrovskiy, admits in ¶114 of his own proposed fact that he sold the subject Porsche for \$67,000 to a third party, even though he never had this vehicle and never repaired it. This was a vehicle with a salvage title and Mr. Ostrovskiy sold it to a third party for such a sum even though he had no possession of such and had made no efforts to repair such. Incidentally, Mr. Ostrovskiy does not provide any proof of such sale. Furthermore, there is no evidence that Mr. Ostrovskiy refunded this money to this third party. In ¶115 of his own proposed finding of fact, Mr. Ostrovskiy says he refunded this money, but he does not attach any proof of this; he just points to the provision of the contract that would require him to pay this money back (Capp, Volume IV, Appendix “MM”), and now, Mr. Ostrovskiy is seeking

reparations that, if he never refunded the money (since no proof of any refund or sale was provided), would be a windfall for him.

This is exactly why other individuals who Mr. Ostrovskiy defrauded are looking for him for the exact same scheme. For example, one such individual is Mr. Sobolev who states: “Based on failed business transaction with Mr. Ostrovskiy, I can strongly confirm that his business models involves usage of funds from his clients for the products that are not in his inventory.” (See Docket Entry #61, page 41.)

It is submitted that the Complainants had ample time to produce evidence to meet their burden of proof, and in light of the foregoing, and especially what is contained in Docket Entry #61 as to the Complainants’ business practices, the Complainants are not entitled to reparations.

Dated: November 30, 2021

  
\_\_\_\_\_  
Garry Pogil (Attorney for Marine Transport Logistics, Inc)  
1120 Avenue of the Americas, 4<sup>th</sup> Floor  
New York, NY 10036